*China will tighten offshore taxation as fiscal pressure mounts*

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【メール原文】

China will tighten enforcement of offshore taxation. A recent push to tax overseas income reflects a broader effort to strengthen cross-border wealth ||||||||||||||

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Beijing's expanded tax-data infrastructure will bring offshore trusts, insurance policies, and securities accounts held by Chinese tax residents within reach of Chinese tax authorities.
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Hong Kong will retain its wealth-management hub status despite tighter taxation, though wealthy mainland families may increasingly diversify toward Singapore.
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Fiscal pressure will push Beijing to broaden the taxation of high-income households and offshore wealth, making personal income tax an increasingly important revenue source.

China will tighten enforcement of offshore taxation. A recent push to tax overseas income reflects a broader effort to strengthen cross-border wealth regulation, relying in part on the Common Reporting System (CRS), a standardized information exchange protocol among global tax authorities, and the Golden Tax System, a domestic tax information system. The use of information exchange tools is helping to identify overseas family trusts, savings and investment-linked insurance, and securities accounts held by Chinese tax residents in Hong Kong, Singapore, and other offshore jurisdictions, bringing them within the reach of Chinese tax authorities. Investment income is generally subject to a 20% individual income tax rate. Enforcement against controlled foreign companies and offshore shell companies is also intensifying.

Beijing now has the data to step up enforcement. Since 2018, China has expanded automatic information exchange with foreign jurisdictions. The completion of the fourth-generation Golden Tax System in 2024 marked a further step-change: Tax authorities can now cross-check domestic income declarations, bank transactions, and outbound foreign-exchange records against overseas financial account and income data received through CRS, substantially improving collection efficiency.

Fiscal pressure will sustain the enforcement. The Ministry of Finance, tax authorities, courts, the foreign-exchange regulator, and the central bank are coordinating more closely on tax recovery; some cases also involve investigations into illegal capital outflows, insider trading, money laundering, and tax evasion. The collapse of land-related fiscal revenue since 2022 has pushed local governments to seek new sources of income. Offshore taxation can partly ease this pressure, as individual income tax revenue is shared between the central and local governments. Tighter enforcement also supports Beijing's effort to keep investment capital within China and deepen domestic capital markets as a funding source for technological innovation.

The new rules mark a new level of enforcement, not a major change to the tax code. A 24 July statement from the Ministry of Finance and State Tax Administration made clear that scrutiny of offshore holdings will intensify. Until now, ambiguity over enforcement had fostered a perception that such assets were effectively sheltered. Our Chinese contacts expect further details in the coming weeks, likely through study sessions led by the Ministry of Finance and State Tax Administration for local government officials, major law firms, and private-wealth agencies. The ultra-wealthy are likely to restructure their assets to preserve existing tax advantages. Many will focus on tax residency, as China's tax regime depends on whether an individual is classified as a Chinese tax resident. Some may shift their residency or assets to lower-tax jurisdictions.

Hong Kong will adapt rather than lose its wealth hub status. Hong Kong overtook Switzerland in 2025 to become the world's largest cross-border wealth-management center. The continued growth of Hong Kong-listed mainland tech companies will generate sustained demand for local trusts and family offices to manage founders' equity wealth. Since offshore investment income remains taxable for Chinese tax residents regardless of whether assets are held in Hong Kong, Singapore, or the British Virgin Islands , simply relocating existing trusts will not remove the tax liability. However, wealthy mainland families with predominantly overseas dollar assets may increasingly favor Singapore to diversify jurisdictional risk. Meanwhile, creating offshore trusts purely for tax purposes will become less attractive, supporting demand for onshore family trusts.

FX oversight poses a bigger near-term risk to Hong Kong insurance than tax enforcement. Tighter taxation will reduce net returns on savings and investment policies for mainland investors who previously underreported income but should not materially restrict access to Hong Kong insurance products. By contrast, tighter scrutiny of FX purchases could limit whether funds can reach these policies, though compliant insurers have likely already guarded against such practices. Tighter FX scrutiny could modestly shift demand toward comparable insurance products in mainland China. This dynamic also exposes a tension in Beijing's approach: It is simultaneously tightening cross-border FX controls and promoting Hong Kong as a wealth-management hub and channel for mainland capital. We therefore expect a modest near-term drag on Hong Kong insurance demand, rather than a structural shift.

Personal income tax will gain importance as a source of revenue. China's tax system will gradually rely less on corporate taxes and more on individual income as residents become wealthier and tax enforcement improves. Personal income tax reached roughly 900 billion yuan in the first half of 2026, up 13% year-on-year—the largest absolute increase among major taxes. The trend is likely to continue as Beijing expands its tax base and strengthens enforcement against high-income individuals and offshore wealth.

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